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7 June 2016

Geoffrey Odundo
Chief Executive Officer
Nairobi Securities Exchange
The Exchange
55 Westlands Road
NAIROBI.

Dear Geoffrey,

RE: FINANCIAL RESULTS FOR THE YEAR ENDED 31 MARCH 2016

The Board of Directors of Centum Investment Company Limited is pleased to announce the audited financial results for the financial year ended 31 March 2016 as set out below.

Consolidated and Company Statements of Comprehensive Income for the year ended 31 March 2016

KES. '000	Group		Company	
	March '16	March '15	March '16	March '15
Investment and other income	24,165,074	11,826,150	4,343,494	6,681,496
Operating and administrative costs	(11,290,209)	(2,458,356)	(877,462)	(867,434)
Finance costs	(3,076,286)	(998,345)	(1,510,623)	(669,463)
Share of associates profits	1,074,114	447,710	-	-
Profit before tax	10,872,693	8,817,159	1,955,409	5,144,599
Profit after tax	9,947,630	7,942,432	1,868,427	4,866,921
Other comprehensive income, net of tax	(2,346,996)	821,719	5,506,297	4,135,687
Total comprehensive income	7,600,634	8,764,151	7,374,724	9,002,608
Earnings Per Share-Basic	11.75	10.45		

Consolidated and Company Statements of Financial Position as at 31 March 2016

KES million	Group		Company	
	March '16	March '15	March '16	March '15
Portfolio investments	57,021	55,630	47,246	37,529
Cash and cash equivalents	10,197	9,006	3,916	3,673
Other assets	10,836	7,704	381	126
Total Assets	78,054	72,340	51,543	41,328
Customer deposits	12,040	12,400	-	-
Borrowings	16,356	9,983	10,475	7,569
Other Liabilities	6,400	11,402	1,754	1,820
Total Liabilities	34,796	33,785	12,229	9,389
Total Equity	43,258	38,555	39,314	31,939
Total Capital and Liabilities	78,054	72,340	51,543	41,328
NAV per share (KES.)			59.08	48.00

**Consolidated Statement of Cash Flows
For the year ended 31 March 2016**

KES million	March '16	March '15
Opening cash and cash equivalents	9,006	(447)
Net cash from operations	8,239	9,344
Net cash from investing activities	(16,829)	(9,677)
Cash from financing activities	9,781	9,790
Exchange (losses)/gains	-	(4)
Closing cash and cash equivalents	10,197	9,006

**Consolidated Statement of Changes in Equity
For the year ended 31 March 2016**

KES million	March '16	March '15
Share capital	333	333
Share premium	590	590
Other reserves	4,633	7,021
Retained earnings	28,953	18,556
Non-controlling interests	8,749	5,129
Shareholder loans	-	6,926
Total	43,258	38,555

*The financial data presented above are selected extracts (without material adjustment) of the audited financial results.
For an in-depth analysis of performance, please visit www.centum.co.ke*

Dividend Declaration

The Group has had a zero dividend policy since 2009. On the back of the Company's sustained strong performance, and healthy liquidity position, the Board of Directors is of the view that the Group has sufficient funding available for its deal pipeline as well as for distribution to shareholders. Consequently, the Board of Directors has recommended the payment of a dividend equivalent to KES 1.00 per share for the financial year ended 31 March 2016. Furthermore, it is anticipated that the Group will be in a position to sustain dividend payments going forward.

REVIEW OF PERFORMANCE

A. Review of FY 2016 Performance

The financial results for the financial year ended 31 March 2016 were achieved in the context of a challenging investment environment, characterised by a depressed stock market, significant volatility in the Kenya Shilling, rising interest rates and a general decline in economic growth.

The economic headwinds notwithstanding, Centum recorded a strong performance over the period under review. Our key focus remains to preserve and grow the value of our shareholders' wealth through different market cycles. We delivered on this objective, with book value of shareholder funds (Net Asset Value) growing by 23% to close at KES 39.3 billion, as compared to a 24% decline in the NSE 20 index over the same period.

Net Asset Value per share increased from KES 8.86 in 2009 to KES 59.08 as at 31 March 2016, representing an increase of 567% and a compounded annual growth rate of 27% over the last seven years. Comparably, the NSE 20 Share Index experienced a cumulative growth of 43% over the same period.

Diagram 1: Centum Book Value and Market Cap, FY 2009 to 2016



The Group's consolidated profit before tax increased by 23% to KES 10.9 billion from KES 8.8 billion in the prior year. Our current strategic focus is to establish ourselves as an institutional developer of assets, rather than a portfolio investor. We have therefore migrated towards an investment holding company model. Consequently, the increase in the Group's profitability speaks to the profitability of the underlying assets which represent our investments. Total group consolidated assets increased from KES 72.3 billion to KES 78 billion year on year driven by increased capital deployments and value uplifts in the investment property portfolio, capital expenditure in the group's bottling operations on a new production line, increased lending by the group's banking subsidiary and increased liquidity.

In the Company books, total assets grew by 25% from KES 41 billion to KES 51.5 billion as at 31 March 2016, primarily reflecting the increase in value of the investment portfolio. The company determines the fair value of its non-subsidiary investments in accordance with International Private Equity and Venture Capital Valuation (IPEV) guidelines, while subsidiaries are held at their net asset values.

The Company's liquidity increased from KES 3.6 billion at March 2015 to KES 3.9 billion at March 2016.

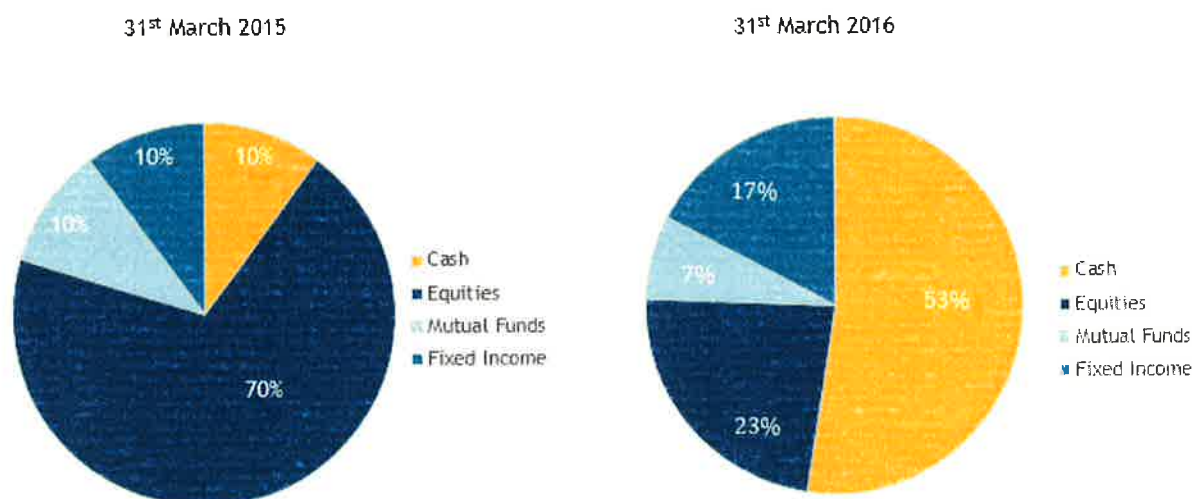
B. Centum's Strategy in the Operating Environment Prevailing over the Financial Year

The economic environment over the financial year was characterised by significant volatility in interest rates, significant depreciation of the Kenya Shilling and a decline in equity valuations in the stock market. We however took proactive measures to ensure capital preservation and to safeguard shareholder wealth, as highlighted below.

i. Portfolio

In anticipation of economic challenges prevailing over the financial year, we significantly reduced our exposure to listed equities with a corresponding re-allocation of the portfolio to cash and fixed income securities. Consequently, listed equities as a proportion of the marketable securities portfolio decreased from 70% as at March 2015 to 23% as at March 2016. The portfolio re-allocation enabled us to benefit from the high interest rate environment, with Centum being a net depositor during the year, hence preserving the value of the marketable securities portfolio.

Diagram 2: Asset Allocation On Marketable Securities Portfolio, End March 2015 and End March 2016



ii. Liabilities

In June 2015, we successfully raised KES 6.0 billion through the issuance of fixed rate and equity linked notes at competitive fixed pricing. In addition, we retired our short term dollar-denominated borrowings during the year. Consequently, Centum was not exposed to the financial risks of high interest rates and foreign exchange volatility experienced during the year. The table below highlights our key liabilities as at 31 March 2016 and 31 March 2015.

Table 1: Key Liabilities

KES Million	Mar 2016	Mar 2015
Bond I - Fixed Rate 13.50% and equity-linked notes at 12.75%	4,425	4,252
Bond II - Fixed Rate 13.00% and equity-linked notes at 12.50%	6,050	-
USD 35 million bridge financing facility	-	3,317
Total Borrowings	10,475	7,569

iii. Liquidity

The Company closed the year at a higher liquidity level compared to the previous year. Cash and cash equivalents as at 31 March 2016 amounted to KES 3.9 billion compared to KES 3.6 billion as at March 2015. Centum manages its liquidity through (a) cash and near cash securities on its balance sheet; and (b) cash and near cash securities held in two 100% owned subsidiaries that exist as special purpose vehicles for investing in marketable securities. The total marketable securities held by the two subsidiaries at 31 March 2016 amounted to KES 2.9 billion. The Company's gearing ratio as at 31 March 2016 was 16%. Liquidity and gearing position as at Company level are summarised below:

Table 2: Liquidity and Gearing

KES Million	Mar 2016	Mar 2015
Cash and Cash equivalents on the Company's balance sheet	3,916	3,230
Total Equity	39,314	31,939
Net Debt (Total debt less cash) on the Company's balance sheet	6,559	3,896
Gearing	16.7%	12.2%

Liquidity reflected above excludes cash and cash equivalents held by the subsidiaries through which the Group undertakes its other investment activities.

iv. Funding Strategy For Centum 3.0

In the context of Centum 3.0, the Group seeks to take on the development risk to create investment grade opportunities at scale that are attractive to third party investors. A key component of the funding strategy for the large scale developments the Group seeks to deliver is third party equity investments in de-risked projects. Centum has attracted KES 13.4 billion in third party funding into projects under development over the last two years as illustrated below, with this funding ring-fenced within the respective projects.

Table 3: Third Party Equity Funding

Project	Entity	KES billion
Two Rivers	Old Mutual Properties Africa Ltd	6.4
Two Rivers	ICDC	0.5
Two Rivers	AVIC	6.5
TOTAL		13.4

Another important source of liquidity to drive the Group's development strategy is the proceeds from exits of legacy investments that are no longer aligned with the Group's strategic focus as a developer of opportunities at scale. Over the last two years, investment exits have delivered KES 6.2 bn in proceeds, which have also been leveraged to drive our development efforts across key sectors.

Table 4: Value Realisation Through Exits

Year	Investment Exited	KES bn
2015	UAP	5.2
2016	Aon	1.0
TOTAL		6.2

C. Performance Against Strategy

The Group's performance against key strategic objectives over the period under review is outlined below.

	Centum 3.0 Strategic Objectives	Achievements in FY 2016
RETURN	• Generate 35% annualised return between FY2014 and 2019 • Consistently outperform the market	• Delivered return of 23% vs. NSE 20 Index return of -24% over the same period • 25% yoy growth in Group profitability from KES 7.9 bn to KES 9.9 bn
FOCUS	• Develop and scale investments across 8 key sectors • Optimise portfolio in line with sector focus	• Investments in five sectors (Real Estate, Energy, Financial Services, FMCG, Agribusiness) • Investments imminent in two sectors (Healthcare, Education) • Exit from AON
SCALE	• Grow total assets to KES 120 bn (USD 1.2 bn) by end 2019	• Total assets of KES 51.5 bn at end March 2016
BRAND	• Develop sector expertise across key sectors • Build a track record of project development in targeted sectors	• Sector specific expertise enhanced in agribusiness, healthcare, retail and leasing sectors • Continued investment in graduate programme as key talent pipeline
COSTS	• Maintain costs below 2.00% of total assets	• Cost efficiency of 1.7% achieved

By Order of the Board



James Mworira, CFA, CGMA
Managing Director

cc Mr. Gordon Mwebesa
Ag. Chief Executive
Uganda Securities Exchange
Kampala, Uganda

Mr. Paul Muthaura
Chief Executive Officer
Capital Markets Authority
Nairobi, Kenya

Mr. Keith Kalyegira,
The Chief Executive,
Capital Markets Authority,
Kampala, Uganda